

positioned to capitalise on global trends—diversification of pharma supply chains and rising demand for manufacturing solutions.

Divi's Laboratories, which fell 14 places, will bank on the expanding GLP-1 class of drugs used to treat type 2 diabetes and obesity. Divi makes generic APIs, or active pharmaceutical ingredients.

Vivek Agrawal, an analyst at Citi Research, says Divi's has aimed for GLP-1 APIs, with collaborations, including with Eli Lilly for tirzepatide, used for managing type-2 diabetes and in weight loss.

Divi's is expanding contract manufacturing services, introducing products such as ribociclib and upadacitinib. Ribociclib is used to treat breast cancer, while upadacitinib is for chronic inflammatory conditions. "Divi is well-placed to capitalise on the growing demand

for GLP-1 products, with the potential to generate ₹6,640 crore in revenue by 2030," Agrawal says.

Abbott India fell 28 rungs though its market capitalisation grew 21.7%. "Abbott's struggles highlight the shifting dynamics in the sector," an industry analyst said. "Despite the growth, external factors are affecting its positioning."

Fortis Healthcare, which runs a chain of hospitals, reported a 51.6% rise in market cap, and Granules India, which makes off-patent drugs, was up by 47.8%. Their gains reflect rising demand for healthcare services and strong strategies.

Global Health, a hospital major better known as Medanta, saw its market cap more than double (103.8%) while that of Glenmark was up 98.3%. Medanta's growth came from strategic expansions, and Glenmark's from innovative

offerings. Biocon's market cap increased 17.2%, but it fell 35 places in the BT500 rankings as pricing pressures impacted competitiveness.

Kiran Mazumdar-Shaw, Chairperson of Biocon, acknowledged the challenges but said, "We have expanded our business globally. With key new product launches, we are constantly striving towards enhancing shareholder value. Our biosimilars business alone crossed a milestone of \$1 billion in FY24".

Despite challenges, Biocon's Q2FY25 show is promising, with an 8% YoY growth in operating revenues to ₹3,590 crore. Its biosimilars business, particularly in the US oncology and insulins markets, continues to drive growth. "We are well-positioned for a strong H2FY25," Mazumdar-Shaw said.

SECTORAL OUTLOOK

Aurobindo Pharma saw its market cap jump 94.3%. However, challenges remain, particularly in the US. Regulatory hurdles worry Indian firms, but analysts are optimistic about the sector's prospects.

The government expects India's pharma market to reach ₹7.5 lakh crore by 2025, growing at 10-12%, supported by a strong domestic manufacturing base and rising exports. India ranks third globally in drug production by volume and exports to over 200 countries. India's pharma exports rose 8.36% from ₹17,750 crore in July 2023 to ₹18,670 crore in July 2024. In FY24, the exports reached ₹2.3 lakh crore, up from ₹1.1 lakh crore in FY14.

The government's production-linked incentive (PLI) scheme has spurred domestic production and innovation. The scheme, introduced in September 2020, is expected to continue driving growth in the sector. **BT**

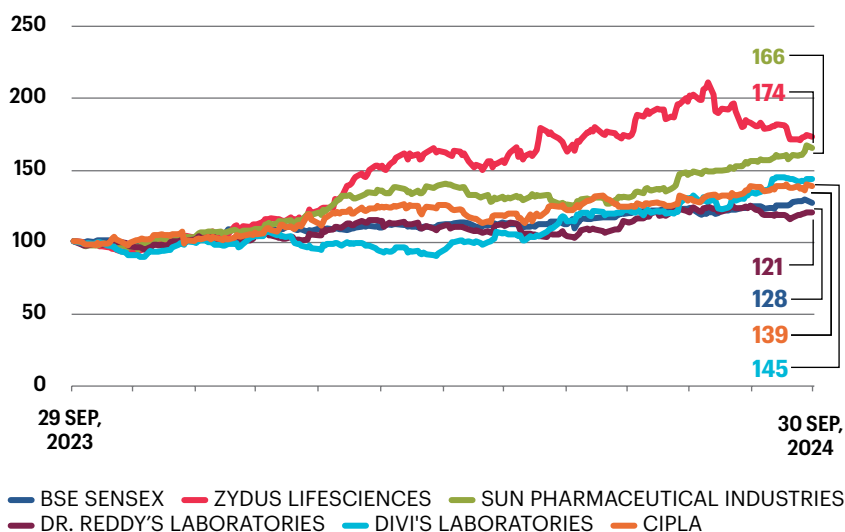
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PEER REVIEW

➤ Most of the pharma majors outperformed the benchmark

BSE Sensex during the study period ➤ Average m-cap of Zydus

Lifesciences and Sun Pharma increased by 80% and 45% respectively



NOTE GRAPH INDEXED TO THE BASE OF 100 **SOURCE** ACE EQUITY